AN INDEPENDENT REVIEW OF PUBLIC RECORDS

Saving North Middletown Elementary School

A Deep Dive into Bourbon County Schools

Prepared for the North Middletown community and the members of the Bourbon County Board of Education

Paris and North Middletown, Kentucky • July 2026

Written by a former NMES King, with the help of an AI research assistant

This review draws exclusively on public records: the district's audited financial statements for the fiscal years ending June 30, 2024 and June 30, 2025; Kentucky Department of Education funding, facility, and school report card data; federal enrollment records; municipal bond disclosures; state regulations; and contemporaneous local reporting. Where a figure is an estimate rather than a published number, it is labeled as an estimate and its assumptions are stated. This document is not an audit, and it alleges no misconduct by any person; both years of the district's financial statements received clean opinions from its independent auditors. Its purpose is narrower and simpler: to lay out what the public record shows, and what it does not yet show, before an irreversible decision is made about a community's school. I am an alumnus of this school, and I wrote this report with the help of Fable 5, an AI research assistant from Anthropic; every figure should be re-verified against the cited primary sources before formal submission or republication.

1. Executive Summary

On July 15, 2026, the Local Planning Committee of Bourbon County Schools voted to reclassify North Middletown Elementary School from a “permanent” to a “transitional” facility in the district's draft four-year facility plan, the procedural first step toward closing the school. The committee's vote is advisory. The decision belongs to the elected Board of Education, and under state regulation it cannot take effect without further committee action, a public hearing, and approval by the Kentucky Board of Education. Superintendent Larry Begley has said publicly that “the decision is not final.”

I wrote this report to examine the district's finances in depth, so the Board and the public can weigh that decision on the actual record. Three conclusions follow from it.

First, the district's budget problem is real. The General Fund ran operating deficits before transfers of $2.54 million in fiscal 2024 and $2.65 million in fiscal 2025, and reserves have fallen from $6.58 million to $4.29 million in two years. The causes are identifiable: about $2.95 million in one-time federal pandemic aid expired; attendance-based state funding fell as roughly 248 students' worth of Average Daily Attendance disappeared after the pandemic hold-harmless ended; and several district-controlled costs grew quickly, led by central-office administration, up 44.8 percent in two years. Behind the attendance line sits a demographic fact I will not dodge: Bourbon County has hovered near twenty thousand residents for fifty years and is projected to shrink slightly by 2040.

Second, North Middletown Elementary did not cause the problem, and closing it will not fix it. The school's costs are long-standing and stable. The “over a million dollars” figure cited for keeping it open is a gross site cost, not a savings estimate: the 128 students do not disappear, their teachers and their state funding move with them, and the district's fastest-growing expense, transportation, up 20.3 percent last year, would rise further with longer bus routes. Most building money in Kentucky school finance is legally restricted and cannot pay teachers in any case. A realistic net recurring saving, estimated in Section 4, is on the order of $250,000 to $600,000, a fraction of the deficit, and less than several alternatives that harm no one.

Third, the district has not yet shown its work. No line-item net-savings analysis, transportation model, receiving-school capacity study, building condition assessment, or alternatives comparison has been published. Meanwhile the school proposed for closure is, on the state's own accountability composite, the district's highest-performing elementary, scoring 58.2 in 2024-25 against 26.5 and 19.3 at the two schools that would receive its students.

The report closes with ten questions the administration should be required to answer in writing before any vote, a menu of revenue and cost measures worth an estimated $1.1 to $2.1 million a year without closing a school, and staged recommendations with clear decision thresholds. The district retains roughly $4.3 million in General Fund balance and is drawing it down at $1.1 to $1.2 million a year. There is a real problem here, and there is also time to solve it well. The ask is specific: pause any vote until the ten questions in this report are answered in writing.

2. Where Things Stand: The Decision and the Process

Date (2026)	Event
Early July	As the district develops its four-year District Facility Plan, word spreads that closure of North Middletown Elementary is under discussion. North Middletown Mayor Jeff McFarland calls closure "possible and maybe even a probable outcome," and notes that "the past several years, North Middletown has been right at the top of the county" on state testing.
July 9	First Local Planning Committee public session; community concern grows.
July 15	Second committee session and public forum at Bourbon County High School. Roughly 100 supporters attend; a 30-minute forum runs about an hour and a half. Afterward the committee votes to classify the school as "transitional" rather than "permanent," allowing a draft facility plan to be prepared without it. The committee can only recommend; it cannot close a school.
July 15-16	Superintendent Larry Begley states the school serves about 100 students (federal records show 128), that keeping it open "cost over a million dollars last school year," and that "the decision is not final."
July 23 (scheduled)	Community meeting set for 6:30 p.m. at the North Middletown Community Center; students and alumni invited to write letters of support.
July 29 (scheduled)	Next Local Planning Committee public forum on the draft facility plan.

Figure 1. Timeline of the North Middletown Elementary decision, compiled from local reporting (WKYT; FOX 56; The Bourbon County Citizen), July 2026.

The remaining process is set by state regulation (702 KAR 4:180 and the Kentucky School Facilities Planning Manual). After the committee finishes its draft, the plan goes to the Kentucky Department of Education for review, returns to the committee for a vote, must be adopted by the local Board of Education, is subject to a formal public hearing, and finally requires approval by the Kentucky Board of Education. A "transitional" label in a facility plan is a planning classification, not a closure: no school closes unless and until the elected local Board votes to close it. Each of those steps is a point at which Board members and the public can insist on the documentation this report describes, and at which written objections become part of the official record that goes to Frankfort.

3. The District's Finances: A Real Problem With Clear Causes

I do not dispute that Bourbon County Schools faces genuine budget pressure. The district's own audited statements, prepared by Summers, McCrary and Sparks, PSC and posted by the Kentucky Department of Education, show it plainly.

General Fund (audited)	FY2023	FY2024	FY2025
Revenues, before transfers	$27,668,655	$24,952,644	$26,449,318
Expenditures, before transfers	$27,905,775	$27,487,732	$29,097,404
Operating result before transfers	($237,120)	($2,535,088)	($2,648,086)
Net transfers and other sources		$1,469,431	$1,422,621
Change in fund balance		($1,065,657)	($1,225,465)
Ending fund balance	$6,582,802	$5,516,305	$4,290,840
Unassigned portion		$5,301,744	$3,925,193

Figure 2. Three-year General Fund summary, from the district's audited financial statements for the years ended June 30, 2024 and June 30, 2025. The fiscal 2023 revenue figure reflects a different presentation of state pension payments made on the district's behalf and is shown for context.

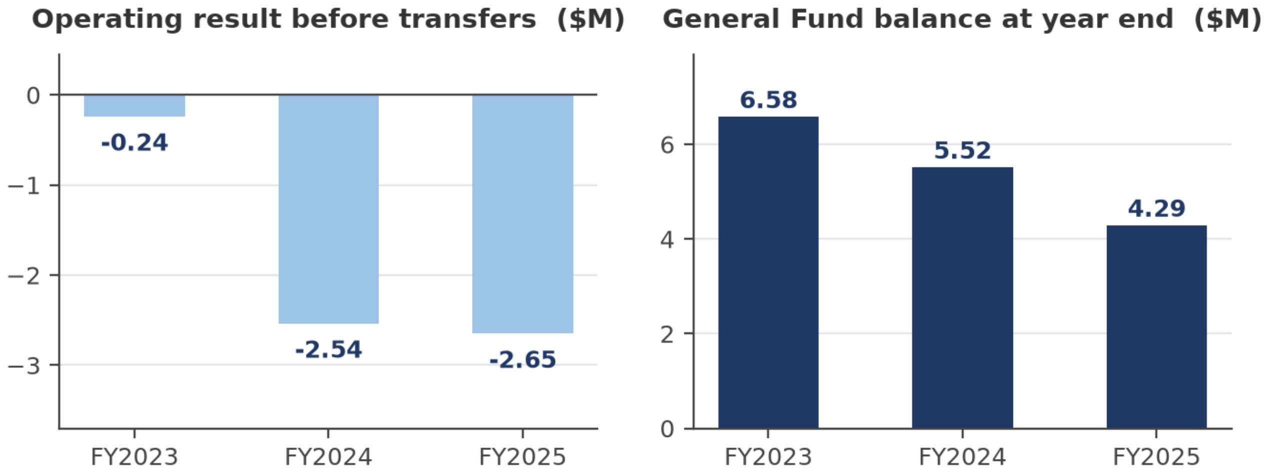

Figure 3. The operating gap and the drawdown. The district spends roughly $2.5 to $2.6 million more from its General Fund than it takes in before transfers, and reserves have fallen about $2.3 million in two years. Source: audited financial statements, FY2024 and FY2025.

A reading note on the transfers line, because it softens the optics without changing the math: "net transfers and other sources" of roughly $1.4 million a year are moves between the district's own funds, indirect cost recoveries from grants and self-supporting operations and similar interfund items detailed in the audits' fund statements, not new money from outside. They cushion the General Fund's reported change in fund balance, which is why the honest measure of the structural problem is the operating result before transfers: the district spends about $2.6 million more than it takes in, and internal shuffling covers roughly half the gap while reserves absorb the rest.

Why it happened

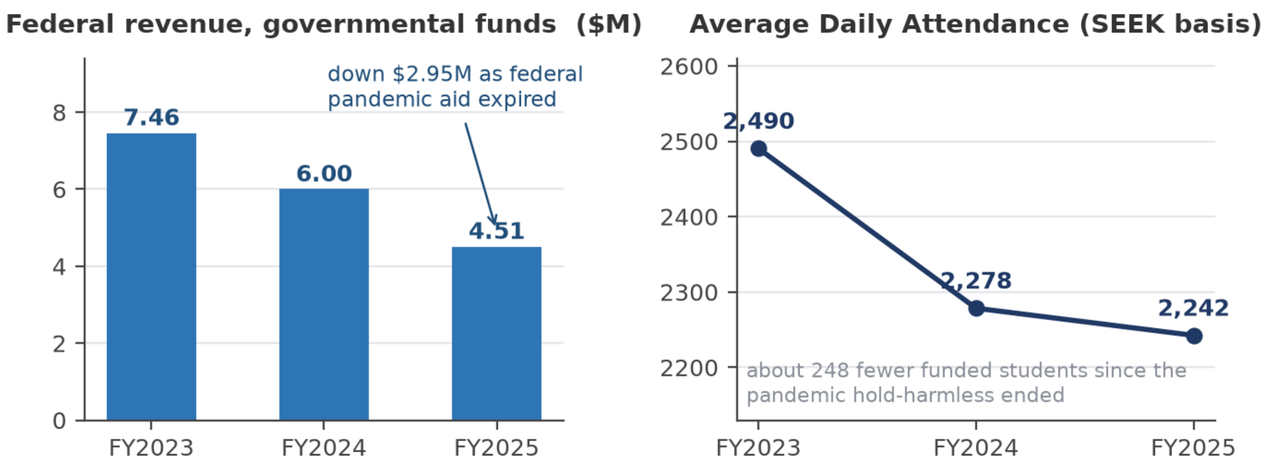

Figure 4. The two revenue shocks. Federal revenue in the governmental funds fell $2.95 million from FY2023 to FY2025 as ESSER pandemic aid expired, and attendance-based state funding fell with roughly 248 fewer funded students. Sources: audited financial statements; SEEK attendance figures reported in the audits.

Three forces converged. One-time federal pandemic relief, the ESSER programs, wound down, taking about $2.95 million a year with it while the staff and programs it paid for remained. Average Daily Attendance, the basis of Kentucky's SEEK funding formula, fell from a pandemic hold-harmless figure of 2,490 to 2,243, a recurring revenue loss on the order of $1.1 million a year at the current base guarantee of $4,586 per student. And the state's new two-year budget offers little relief: the SEEK base rises less than one percent in fiscal 2027, and state school-bus funding is frozen roughly $90 million a year below what Kentucky statute calls for, statewide.

At the same time, several costs the district controls grew quickly: a two-percent raise in fiscal 2024 with “some employees receiving much more,” in the words of the district's own audit narrative, step increases in fiscal 2025, transportation up 20.3 percent in a single year, and central-office administration up 44.8 percent in two years (Section 8). A $6.055 million bond issued in 2024 added roughly $430,000 a year of debt payments through 2044 (Section 6).

Two facts round out the picture, and both cut in the community's favor. The district has already shown it can fix a money-losing operation without closing anything: between fiscal 2024 and 2025 it cut the day-care fund's loss from $722,828 to $79,010 and swung food service from a $610,606 loss to a $179,197 surplus, a combined improvement of about $1.4 million in one year. Even if part of that swing reflects one-time pricing and reimbursement changes, it shows that focused management can move seven figures without touching a school. And the district is not in collapse: both audits carry clean opinions, the fiscal 2026 budget holds a $1,411,076 contingency above the state's two-percent minimum, and at the current pace of drawdown the unassigned reserve lasts roughly three more budget cycles. The problem is real. So is the time to address it deliberately.

4. The Million-Dollar Question: What Closing the School Would Actually Save

The case for closure rests on a single public statement: that keeping North Middletown Elementary open “cost over a million dollars last school year.” No supporting worksheet has been released. The state's own school spending data put that number in context.

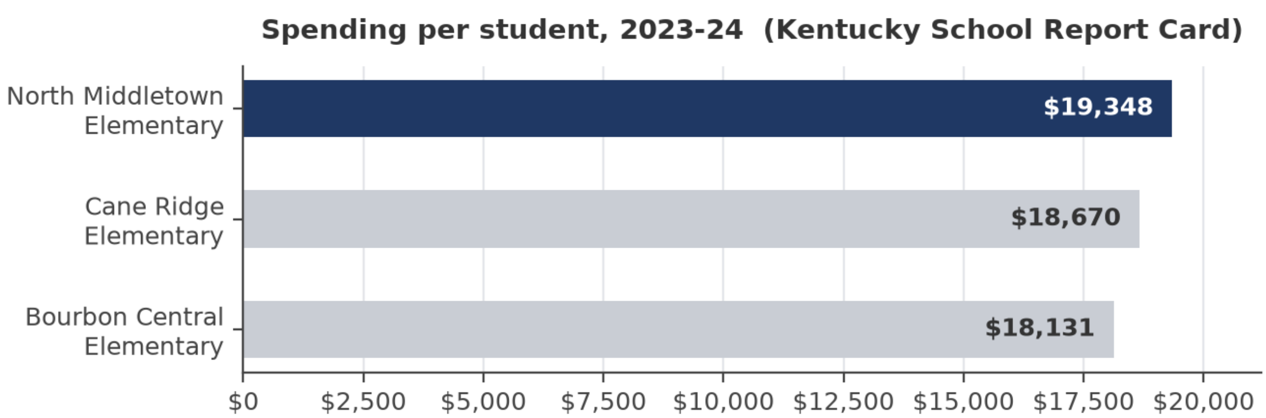

Figure 5. Per-student spending at the district's three elementary schools, 2023-24, as published in the Kentucky School Report Card's school-level expenditure data (total of state, local, and federal dollars).

North Middletown's $19,348 per student is the highest of the three elementaries, and that is exactly what the math predicts for a small school, because one principal, one office, one kitchen, and one heated building divide across 128 children instead of 450. Multiplied out, the school's total site spending is about $2.5 million, of which roughly $1.8 million is state and local money. But almost none of that total is what a closure would save, for a simple reason: **closing a school does not delete its students.**

The 128 children would still need teachers, about eight to nine classrooms' worth at the district's average ratios, and Bourbon Central (459 students) and Cane Ridge (453 students) would each absorb roughly 64 more children across six grade levels, adding sections in several of them. The children's SEEK funding transfers with them.

Food service, now a self-supporting operation, follows the meal counts. What is genuinely avoidable is the fixed layer: the principal and office staff, custodial time, utilities, and insurance, and only if the building is sold or fully repurposed rather than mothballed. Against those savings run the new costs: longer bus routes in the district's fastest-growing and worst-reimbursed budget line (families have warned of rides exceeding two hours a day), any staffing or space additions at the receiving schools, transition costs, and the quiet revenue risk that some families leave the district altogether, each departure taking at least $4,586 a year in base state funding with it, permanently.

Put together, a defensible planning estimate of the net recurring General Fund saving is roughly **$250,000 to $600,000 a year**, an estimate, clearly labeled as such, that the district could replace tomorrow with a real worksheet. Even on assumptions generous to the district, five positions eliminated instead of three, busing at the low end, and not one family leaving, the math tops out in the low $600,000s, still under a quarter of the structural deficit (the companion workbook shows this case explicitly). The reason for skepticism about even that number is not theoretical. Districts across the country have run exactly this play, and the results are on the record. One more thing closure does not buy: borrowing room. Bonding capacity is built from restricted revenue streams that do not grow when a school closes (Section 6).

What happened when other districts tried this

- **Chicago, 2013.** The district closed about fifty schools projecting roughly $1 billion over a decade, including $43 million a year in operations. A 2023 Sun-Times and WBEZ analysis found actual labor savings of about $25 million a year, some $18 million short, while the district borrowed $329 million to prepare receiving schools, and a decade on more than half of the 46 emptied buildings still sat unused. The University of Chicago's own research consortium found displaced students' math scores depressed for up to four years.
- **Twelve districts, 2013.** The Pew Charitable Trusts studied a dozen districts that had closed schools and found 301 buildings still sitting unused, with those that did sell typically fetching $200,000 to $1 million, well below initial projections.
- **West Virginia, 1990-2002.** The state closed more than 300 schools and spent over $1 billion consolidating; the head of its own School Building Authority conceded in 2002 that the closings did not save taxpayers money. Local administrative staff grew 16 percent while enrollment fell 13 percent, and the state came to spend more of its education dollar on busing than any other.
- **Vermont, 2017-2020.** A 2024 Yale economics thesis by Grace Miller, studying 109 districts merged under Act 46, found no significant change in per-pupil spending or tax rates: administrative savings were absorbed almost entirely by higher salaries, benefits, and transportation.
- **California, 2026.** A Stanford analysis for the Getting Down to Facts project found that after closures amid enrollment decline, spending fell about $440 per pupil, and revenue fell by effectively the same amount, with no reduction in teachers or staff. Districts broke even. Earlier research puts typical closure savings below five percent of a district's budget.

Student costs compound the fiscal ones: a 2024 national study following 470 Texas closures found displaced children, low-income children most of all, absent more often, disciplined more often, and earning less as adults. Roughly three-quarters or more of North Middletown's students qualify for free or reduced-price meals. If Bourbon County believes its closure would beat this record, the burden is on the administration to show the math.

When the district's numbers are presented publicly, four framings deserve particular scrutiny, because each can make closure look better than it is: gross site cost presented as savings; restricted building dollars presented as operating relief; per-pupil cost cited without noting that state funding follows the student; and district-wide cost growth attributed to one small school. I have tried to avoid the mirror-image errors, and I flag my own judgment calls where they occur.

Whatever the true net number proves to be, one comparison frames the decision: the district's structural deficit is about $2.6 million. Closing North Middletown Elementary addresses, at best, a small fraction of it, while the measures in Section 9 total more, harm no student, and close no town's school.

5. Academic Performance: The District Would Be Closing Its Best Elementary School

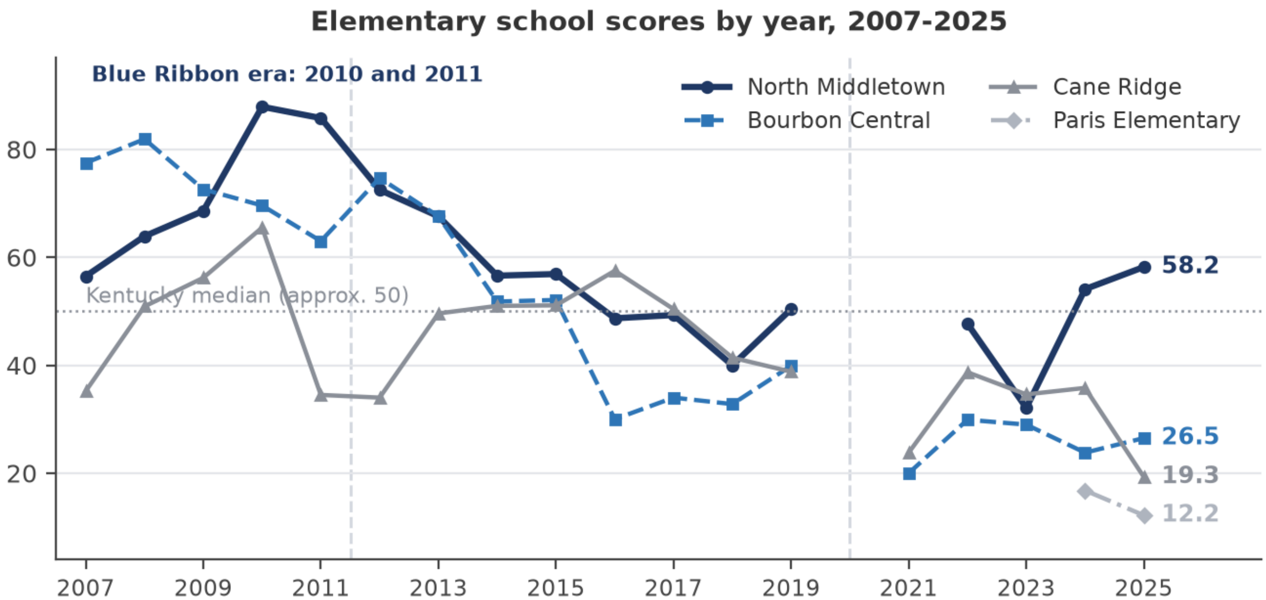

Figure 6. The full two-decade score history for every elementary school in the district, with Paris Independent's Paris Elementary for county context (reported from 2024). Values are SchoolDigger's normalized 0-100 score computed from state test data, a consistent cross-year yardstick, not KDE's official rating. Dashed markers show where the underlying state assessment changed (2012 and 2021-22); no statewide tests were given in 2020, and North Middletown's 2021 result was not reported.

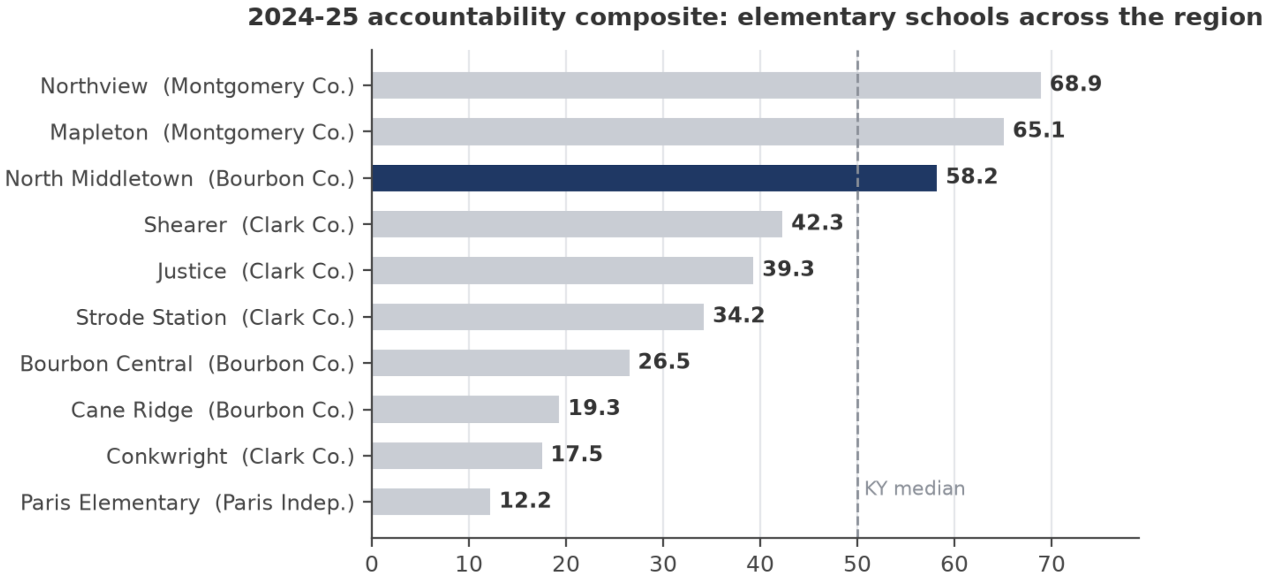

Figure 7. The 2024-25 accountability composite for elementary schools across the region. Only Montgomery County's two elementaries outscore North Middletown; every elementary in Bourbon County, Clark County, and Paris Independent trails it.

The pattern is hard to miss, and it runs in opposite directions. After a pandemic-era dip in 2023, North Middletown rebounded to 54.1 in 2024 and 58.2 in 2025, back above the state median, around the 60th percentile of Kentucky elementary schools, ranking 272nd of 685 statewide. Over the same stretch the receiving schools moved the other way: Bourbon Central has slid from 39.9 (2019) to 26.5, and Cane Ridge fell from 35.8 to 19.3 in a single year, both now in the bottom quarter of the state, alongside Paris Elementary at 12.2. Across the wider region (Figure 7), only Montgomery County's Northview and Mapleton outscore North Middletown; every elementary in Clark County and Paris Independent trails it. The two-decade record in Figure 6 deepens the contrast: around its Blue Ribbon years North Middletown scored 87.9 and 85.8, the top tier of the state, while Bourbon Central, the district's strongest elementary as recently as 2008 (81.9), has fallen by two-thirds.

The profile beneath the composite has real texture. North Middletown students match the state average in reading (50 percent proficient or better) and mathematics (44 percent), and beat it decisively in writing (58 percent, twenty points above the state) and science (53 percent, sixteen above). Most striking for a school where about three-quarters of children qualify for free or reduced-price meals: its economically disadvantaged students scored 57.1, the 62nd percentile statewide, evidence that this environment lifts precisely the students the research says are hardest to lift.

This is not a new story. In 2011 the U.S. Department of Education named North Middletown Elementary a **National Blue Ribbon School**, one of just five Kentucky public schools honored that year, an award reserved for schools performing in roughly the top ten percent of their state in reading and mathematics, and the state's education department separately gave it an inaugural Distinguished Winners Circle Award. In the years around that recognition the school ranked 36th of 683 Kentucky elementary schools (2010) and 51st of 688 (2011). The school the district proposes to close is not a school with a history of failure; it is a school with a history of excellence, now climbing back toward it.

The record has always been built by people, and I will name the two who anchor it: Mrs. Beverly Craycraft and Mrs. Roxanne Mitchell. Every alumnus I talk to mentions them. For generations of North Middletown families, mine included, those two classrooms were where the standard for kindergarten through fifth grade was set. Mrs. Mitchell said it best herself, twenty years into her fifth grade room when the Blue Ribbon arrived, crediting the earlier grades with “providing the foundation my students need in basic geography skills” and pointing to traditions that reached beyond the walls: “It has been customary for 3rd-grade students to tour stops along the Underground Railroad in northern Kentucky.” The honors around them are documented: Alison Cloyd (2014) and Lydia Austin (2017) each received Campbellsville University's Excellence in Teaching Award, the statewide honor for which a district puts forward one teacher at a time, and the Blue Ribbon culture ran on programs the community itself powered, none more distinctive than “ArtBurst,” which threaded the performing and creative arts through core academics with volunteers teaching art forms and students performing weekly. Those educators set a standard, and the school's history belongs to them. Its present belongs to a new set of educators proving equal to it: under principal Hannah Southall, the current staff has lifted the school from 32.1 to 54.1 to 58.2 in two years, keeps a gifted-and-talented program running, and draws the kind of testimony money cannot buy, a parent writing this month that her child “feels so loved and welcomed by each and every teacher.” The people who set the standard have successors already making the climb. What that faculty needs is not consolidation. It is time, and a district willing to back them.

Two honest caveats belong here. Small schools produce noisier year-to-year scores, 128 students is a small sample, and subgroup results vary widely: the school's girls (85.7, the 91st percentile) far outpace its boys (28.8), a gap the district should be helping the school close rather than closing the school. The same caution cuts both ways: no single year should define any school, which is why three-year averages matter, and they tell the same story. North Middletown averages 48.1 for 2023 through 2025, against 26.4 at Bourbon Central and 29.9 at Cane Ridge. Neither caveat changes the central fact: the consolidation on the table would move children from the district's strongest elementary environment into its weakest ones. If the administration believes those receiving schools can preserve these students' outcomes, that belief should be supported in writing, with a transition plan, before any vote, not assumed after one.

6. Bonds, Buildings, and Two Different Pots of Money

Kentucky school finance separates operating money from building money, and the distinction decides what a closure can and cannot accomplish. Districts do not borrow directly: a Finance Corporation, legally distinct but composed of the same people as the Board, issues bonds and leases the buildings back to the district. The state's School Facilities Construction Commission (SFCC) pays part of qualifying debt; the local share comes from restricted facility revenues, chiefly the “nickel” building tax (about $2.05 million in fiscal 2025) and the capital outlay allotment. **None of that money can lawfully pay teachers or plug the operating deficit.** “We spend a great deal on buildings” and “we cannot afford to operate a school” describe two different pots, and the public conversation should keep them separate.

Series	Original amount	Interest rate	Final maturity	Outstanding 6/30/25
2013	$2,255,000	1.90-2.10%	2026	$348,000
2013R (refunding)	$468,000 *	2.75-4.05%	2033 *	$585,000 *
2016	$5,700,000	1.00-3.00%	2029	$3,145,000
2018	$1,850,000	3.50%	2038	$1,560,000
2020	$3,620,000	0.50-1.85%	2031	$3,405,000
2023	$810,000	3.65-4.00%	2034	$755,000
2024	$6,055,000	4.00-5.00%	2044	$5,945,290
Total	**$20,758,000**			**$15,743,290**

*Figure 8. Outstanding bonds of the Bourbon County School District Finance Corporation, from Note 4 of the FY2025 audited financial statements. The 2016 issue refinanced $5,315,000 of 2009 bonds (saving $314,834 in present value) and the 2020 issue refinanced $3,410,000 of 2011 bonds (saving $106,627). * The audit's figures for the 2013R issue are internally inconsistent: the outstanding balance exceeds the listed original amount, and the stated maturity contains an obvious typographical error. Both are details the finance office should correct on the record.*

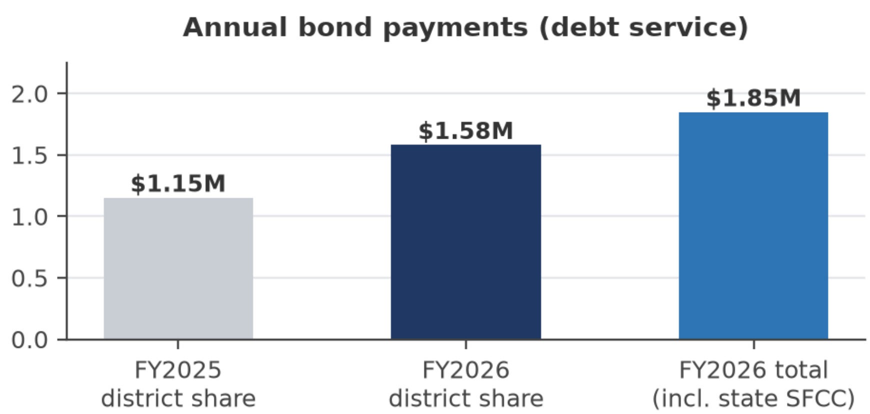

Figure 9. Annual bond payments are rising as the 2024 issue comes online. The state's SFCC pays $1,568,809 of the outstanding principal over the life of the bonds. Source: FY2024 and FY2025 audits.

Three findings from the bond record deserve the Board's attention.

- **The 2024 borrowing funds an active project that has not been publicly tied to any school the district proposes to keep or close.** The $6.055 million issue flowed into the Construction Fund, and construction in progress grew from $3.65 million to $7.41 million during fiscal 2025, matching that fund's spending almost to the dollar. District planning documents describe an ambition to build a career-and-technical learning center, potentially in partnership with Bluegrass Community and Technical College; the bond's official statement and the state project application (the BG-1) would say definitively, and should be published alongside any closure discussion.
- **No bond issue on record names North Middletown Elementary.** The capital program has flowed elsewhere for years, which raises a fairness question the administration should answer directly: was the school passed over for investment before being described as too costly to keep?
- **The construction fund ran a negative $1.43 million restricted balance at June 30, 2024**, project spending ran ahead of the borrowing that later covered it. Not improper in itself, but it shows a capital program being prioritized and cash-flowed in the same years the operating budget went into deficit. The fiscal 2024 audit also

notes the district held $23.5 million in unused bonding capacity, borrowing room for buildings that, again, cannot pay teachers either way.

What closing a school does, and does not do, to bonding capacity

A district's ability to borrow for buildings is simple math set by statute and regulation, and it is worth walking through, because “bonding capacity” is likely to surface in the closure debate. Kentucky districts build capacity from two restricted streams: the capital outlay allotment of $100 per student in average daily attendance (KRS 157.420), of which regulation lets a district pledge 80 percent, the rest held back as a safety factor (702 KAR 4:160), and the restricted building-fund levy, the “nickel,” with its state FSPK equalization (KRS 157.440). Set existing debt payments against those streams and what remains is the room for new debt. On the fiscal 2025 numbers: roughly $224,000 a year of capital outlay, about $2.05 million of building-fund tax, and $1.58 million of district-paid debt service in fiscal 2026. The fiscal 2024 audit states the bottom line plainly: about $23.5 million of unused bonding capacity. The companion workbook lays the components side by side on the Debt_Service tab.

Nothing in that math grows when a school closes. Closing North Middletown adds no assessment, no attendance, and no levy. What it changes is the plan, not the capacity: a “transitional” label removes the school's modest listed needs from the priority list and steers future SFCC offers of assistance (KRS 157.622), and the district's own borrowing, toward other projects, such as the career-and-technical center ambition in the district's planning documents. That is a choice about priorities, and it deserves to be argued openly as one, with the bonding potential statement on the table. The math can also run against the district: every family that responds to closure by leaving takes $100 a year out of capital outlay and the SEEK base out of operations, permanently. Nor is an emptied building a windfall: the Pew study in Section 4 found districts typically realized $200,000 to $1 million on sales, one-time money that is itself restricted to capital use.

As for where the 2024 borrowing went: the $6.055 million issue, at 4.00 to 5.00 percent interest through 2044, flowed into the Construction Fund, where construction in progress grew from $3.65 million to $7.41 million during fiscal 2025, matching that fund's spending almost to the dollar, and it added roughly $430,000 a year of debt payments, which is why the district's share of debt service jumps from $1.15 million in fiscal 2025 to $1.58 million in fiscal 2026. The state's SFCC participates in the qualifying issues, paying $1,568,809 of principal over the life of the bonds. None of the seven outstanding issues names North Middletown Elementary. The two documents that would settle the 2024 bond's purpose beyond argument, the official statement and the BG-1 project application, are standard public records, and Question 7 asks for both.

7. The North Middletown Building Itself

If the closure case rests on the building, the record so far does not support it. The school's sections date to 1948, 1963, and 1964, an older plant, like much of the district. The state-approved District Facility Plan (adopted with Kentucky Board of Education approval in 2021) classifies North Middletown as a **permanent** kindergarten-through-five center with a capacity of 174, comfortably above its current 128 students. The improvements that plan lists for the school are modest and typical of buildings its age: life-safety upgrades (a sprinkler system, exit and emergency lighting), an accessibility ramp and elevator, and renovation of space for a vocal-music classroom. The plan's district-wide capital need of roughly $43.4 million is concentrated at the high school and middle school, not at North Middletown.

The capacity number itself deserves scrutiny before anyone treats it as a wall. The 2021 plan rates North Middletown at 174 students; the same building, the same 1948, 1963, and 1964 sections, held 261 students at its

1988-89 peak, half again the current rating, and enrollment histories show it above 200 for most of the 1990s and 2000s. Nothing about the walls shrank. What changes a rated capacity under the state's facilities planning manual (702 KAR 4:180) is how rooms are counted: capacity is computed from the classrooms in regular homeroom use, at program class-size caps, discounted by a utilization factor, so every room reassigned over the years to preschool, intervention, special education services, or a computer lab quietly lowers the school's official capacity without a brick moving. Rated capacity, in other words, is a policy output the district itself controls, and it can be raised the same way it was lowered: by returning rooms to homeroom use as enrollment fills. Two records would settle the history, and Section 12 requests both: the pre-2021 facility plans, which carry the building's earlier rated capacities, and the room-by-room utilization worksheet behind the current 174. A closure case that leans on a capacity figure should first explain who set that figure, from what room assignments, and why the community should treat as fixed a number the administration can change with a room schedule.

The 2026 planning cycle is supposed to rest on a fresh architect-and-engineer condition assessment of every building. If that assessment attaches a large renovation figure to North Middletown, the public has yet to see it, its author, or its assumptions, and it should be published before any “transitional” designation is adopted. Two further points keep the building question in proportion. First, whatever renovation the school needs would be paid from the restricted facility funds described in Section 6, money that cannot close the operating deficit whether the school stays open or not. Second, the receiving schools carry their own listed expansion needs in the same plan; moving 128 children into them is not free of capital cost either. An empty building, finally, is not free: it must be secured, insured, minimally heated, and eventually disposed of, while the town loses its largest civic anchor, a community of about 610 people whose residents told the planning committee the school is “the heartbeat” of the town.

8. Where the Money Is Actually Going: Administrative Growth

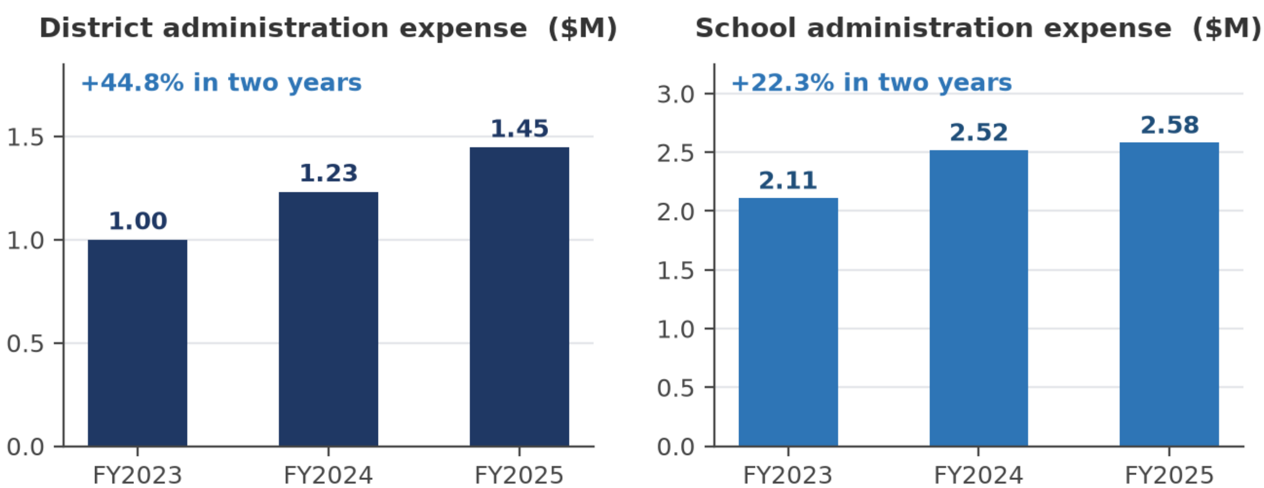

Figure 10. Administration expense from the district's audited statements of activities. District (central office) administration grew from $999,727 in FY2023 to $1,447,164 in FY2025; school administration grew from $2,110,039 to $2,581,412 over the same two years.

The single most striking controllable-cost trend in the audits is not at North Middletown. Central-office administration grew 44.8 percent in two years, an increase of $447,000 a year, comparable to or larger than any realistic net saving from closing the school, while enrollment and attendance fell. School-level administration grew 22.3 percent. Transportation grew 20.3 percent in fiscal 2025 alone, alongside bus purchases of roughly

$888,000 and $691,000 in consecutive years. Single-year jumps can carry one-time costs, so the fair question is the multi-year trend and the routing, not any one invoice. Federal data most recently on file show the district reporting four central-office administrators and fifteen school administrators; reconciling that headcount against the dollar growth, position by position, is a reasonable ask before any classroom building closes.

A caution belongs beside that number, offered here before anyone else raises it: functional expense lines in Kentucky school audits include allocated state pension payments made on the district's behalf, and reclassifications between categories can move money on paper without a single new hire. Some share of the 44.8 percent may be accounting rather than administration. That possibility is not a defense of the trend; it is the reason I ask for a position-by-position accounting instead of assuming the worst. The growth is a question to be answered, not a verdict.

I deliberately rely on the audited totals rather than individual salaries, because individual figures should come from official records: the Kentucky Department of Education's annual superintendent salary file and the district's own board-adopted administrator salary schedule, which sets pay by formula, a base teacher salary multiplied by a responsibility increment and an extended work year. Publishing those records, current and for the past five years, is part of the transparency the moment calls for, and appears among the questions in Section 10.

9. The Alternatives on the Table: Grow, Don't Close

Every option below is available under current Kentucky law, and each comes with the question the administration should answer about it. Dollar values are planning estimates from the audited base figures, labeled as such; several overlap and cannot simply be summed. Even conservatively combined, they exceed both the realistic saving from closure and the district's annual reserve drawdown. One honesty note before the menu: the first revenue option is a tax adjustment, and I will not dress that up; the full rate analysis follows the menu, and it shows a district taxing near the bottom of its region. It asks the community to weigh a modest, no-recall increase against losing its school.

First among them: grow the Kings into the region's premier elementary school

The strongest alternative is not defensive. Kentucky law already supplies the mechanism for growth: under House Bill 563 (2021), codified at KRS 157.350, a district that adopts a nonresident-student policy may, since July 2022, enroll students from other counties and count them in its attendance for state SEEK funding, with no agreement from the child's home district required and tuition at the board's discretion. Every family North Middletown attracts brings at least the $4,586 base guarantee, plus applicable add-ons.

North Middletown is built to compete for those families. It is a 2011 National Blue Ribbon school with a gifted-and-talented program, a 13.6-to-1 student-teacher ratio, and a 58.2 accountability composite that beats every elementary school in Bourbon County and every one in neighboring Clark County and Paris Independent (Conkwright 17.5, Strode Station 34.2, Justice 39.3, Shearer 42.3, Paris Elementary 12.2). Its state-approved capacity is 174 against 128 enrolled: forty-six open seats which, filled with transfer students at the base guarantee alone, represent roughly $211,000 a year in new recurring revenue at little marginal cost, before tuition, add-ons, or the further growth a themed program, a preschool satellite, and a serious marketing effort could generate along the U.S. 460 corridor, within a short drive of five surrounding counties. The question for the administration is why the district's only nationally honored school is slated for closure instead of expansion.

Honesty requires naming the headwind first. Bourbon County has hovered near twenty thousand residents for more than fifty years, from 18,476 in 1970 to 20,252 in 2020, and the Kentucky State Data Center projects a decline of roughly four percent by 2040. The county is aging, its share of children is shrinking, and its celebrated horse-farm land base, the second largest stock of conserved farmland in Kentucky, structurally limits new subdivisions. The regional boom passed to the west: neighboring Scott County is projected to grow 46 percent by 2050 and Fayette nearly ten, while Bourbon sits outside that corridor. The district's enrollment decline is real and structural, and I will not pretend otherwise. North Middletown Elementary itself tells the story: it held 261 children in 1988-89, about double today's 128 (Figure 11).

But a school's enrollment does not have to wait on a county's birth rate, because the board controls two levers that demographics do not. The first is redistricting: attendance boundaries are the board's to draw, and with Bourbon Central at 459 students and Cane Ridge at 453 while the district's best elementary sits at 128 of a rated 174, redrawing lines on the eastern side of the current zones, starting with families who already live closer to North Middletown than to their assigned school, would fill its open seats with children the district already educates, relieve the crowded Paris schools, and shorten those children's rides rather than lengthen them. The second is the county's edges: under House Bill 563, families just across the line in Clark, Nicholas, Bath, and Harrison counties can enroll at North Middletown and bring their state funding with them, and every nearby comparison school with a published score sits far below it, from Nicholas County Elementary near 16 and Conkwright at 17.5 to Strode Station at 34.2. The pitch is not that the region is growing. It is that the region's best small elementary has empty seats within a short drive of families across four counties whose current options score a third as high.

Growth framed this way is reallocation and recruitment on quality, not a bet on a population rebound, and the near-term target is modest: returning to the 160 students the school enrolled as recently as 2019-20 takes just 32 children from a district of 2,600 and four neighboring counties.

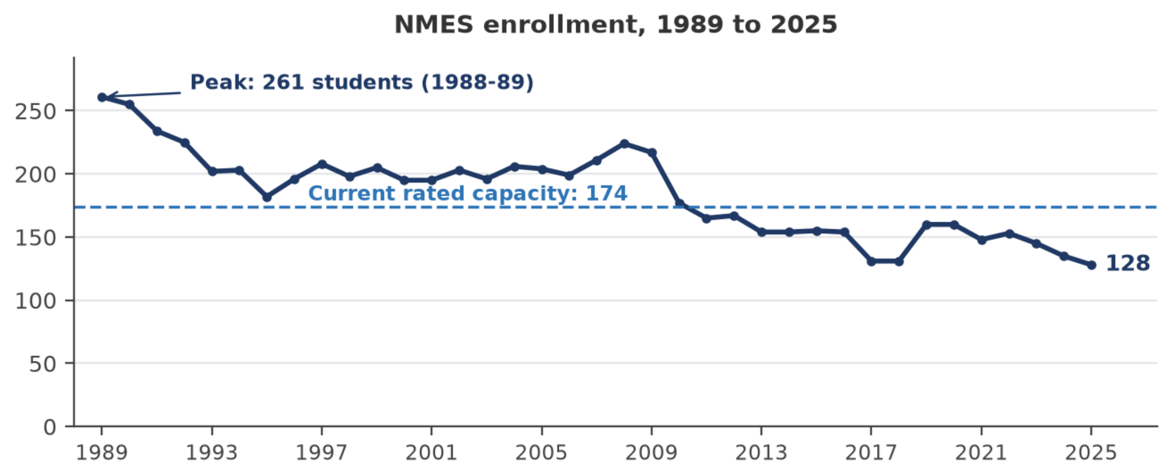

Figure 11. NMES enrollment from 1989 through 2025 against its current state-rated capacity of 174. The school held 261 students at its 1988-89 peak, roughly double today's official count of 128. History compiled from federal school-level data. The long decline mirrors the county's flat population, which is exactly why this plan relies on boundary decisions and cross-county enrollment rather than demographics.

A worked example: rebalance the map, fill the school

Here is one concrete scenario, math anyone can check, run in the workbook's Redistricting tab. Rezone 30 students to North Middletown from the eastern edges of the two Paris-area attendance zones, drawing only from families who already live closer to North Middletown than to their assigned school, and recruit 16 cross-county transfers under House Bill 563. The school reaches exactly its rated 174. Bourbon Central eases from 459 to about 444 and Cane Ridge from 453 to about 438. No teacher is added at North Middletown: its nine classroom sections go from an average of about 14 students to about 19, still under the statutory caps of 24 in the primary grades (KRS 157.360). The 16 transfers bring roughly $74,000 a year of new SEEK revenue, supplies for all 46 added students cost about $18,000, and if the relief lets the receiving schools avoid or redeploy even one to two sections as the Paris side grows, the package is worth roughly **$140,000 to $225,000 a year, recurring**, while cutting North Middletown's much-cited cost per student from $19,348 to about $14,339, a 26 percent drop, purely by filling seats. Two assumptions are flagged in yellow in the workbook for the district to replace with real data: that rezoned students' bus routes shorten or hold even because they are chosen by proximity, and the receiving schools' grade-by-grade capacities, already a records ask in Question 3. This is what an unbiased boundary study looks like in miniature. The district holds the geocoded student counts and the routing data to run the full version, and it should, before any vote.

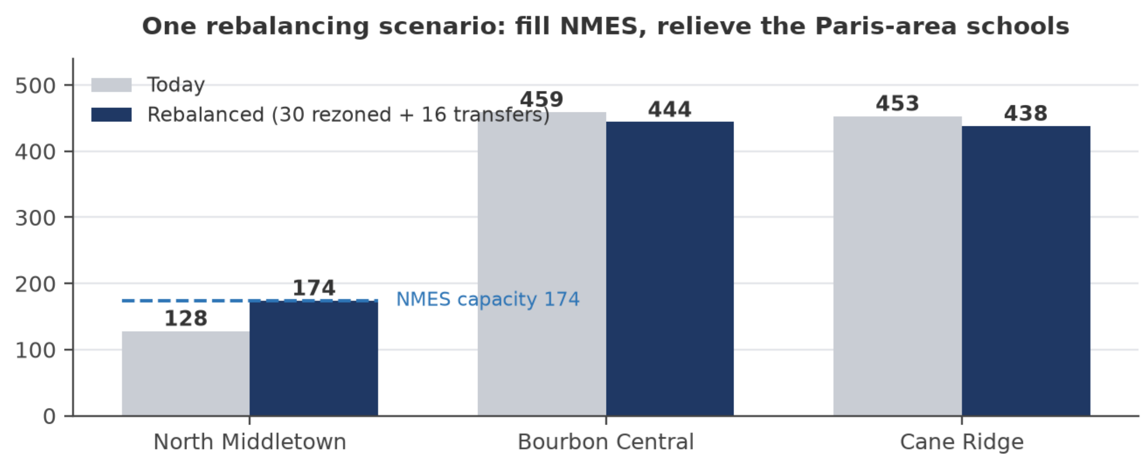

Figure 12. One rebalancing scenario: North Middletown fills to its rated 174 while Bourbon Central and Cane Ridge each ease by about fifteen students. Enrollment counts as cited in Sections 4 and 9; the scenario levers (30 rezoned, 16 cross-county transfers) are adjustable in the companion workbook's Redistricting tab.

The transportation map, estimated from public geography

The district has not published its zone map, its geocoded student counts, or its annual T-1 transportation report, so what follows is built from public geography and labeled accordingly; every input sits in yellow in the workbook's Transport_Geo tab for the district to replace. Bourbon County is about 290 square miles of land. Its people cluster west: Paris holds 10,171 of the county's 20,252 residents, against 747 in Millersburg and 610 in North Middletown. The district's own published attendance-zone view assigns the county's southeast, about 36 percent of its area, to North Middletown, with Millersburg in the northern zone, and the math follows: about 1.2 elementary students per square mile in the NMES zone, against roughly 4.9 in the two Paris-area zones and 3.6 district-wide. That density gap is not a detail; it is the exact variable state law funds on. KRS 157.370 sets transportation aid by transported pupils per square mile, paying more where density is low because low density costs more to serve. The funding history sharpens the point: the formula ran underfunded for two decades, the 2024-2026 state budget restored it to 90 and then 100 percent, computed on lagged fiscal 2023 costs, and the 2026-2028 budget froze it again below the statute. A district that closes its one eastern school keeps every square mile of that coverage area and serves it with longer rides.

Zone	Approx. area (sq mi)	Elementary students	Students per sq mi
North Middletown zone (southeast)	~105	128	~1.2
Paris-area zones (north and southwest)	~185	912	~4.9
District overall	290	1,040	3.6

Zone areas traced from the district's published attendance-zone view onto the Census county outline; student counts as cited in Section 4. Approximate until the district releases its zone map and geocoded counts (Question 3).

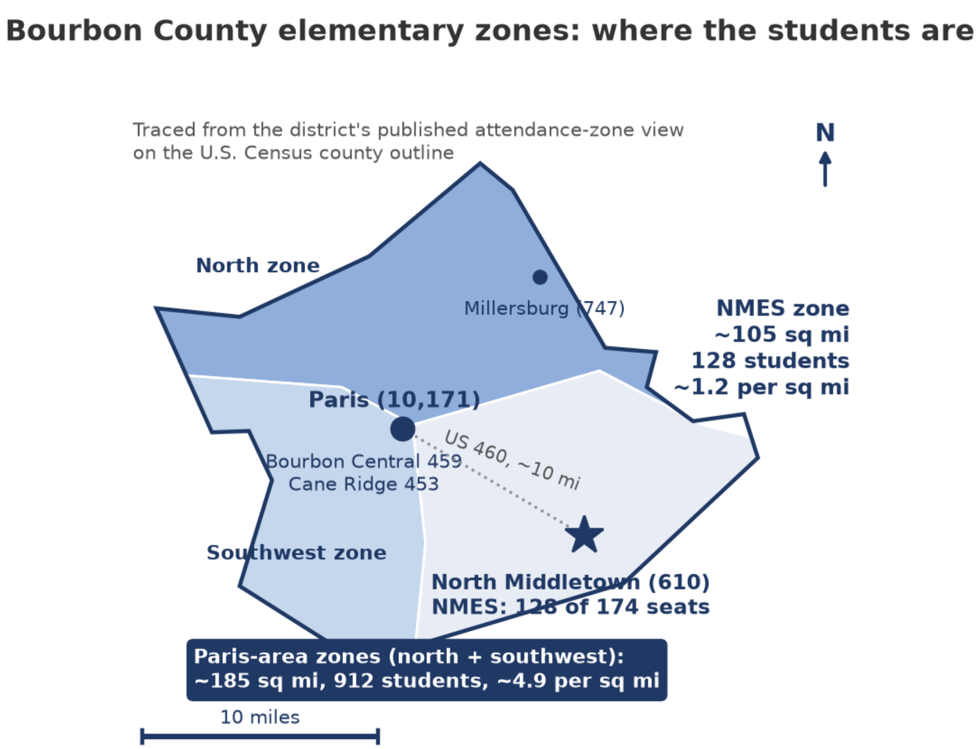

Figure 13. Where the students are: the three elementary attendance zones traced from the district's published zone view onto the U.S. Census county outline. Paris holds half the county's people and both receiving schools; Millersburg sits in the northern zone; the NMES zone runs about 1.2 students per square mile across roughly 105 square miles of the county's southeast.

Now the closure math, from the bottom up. North Middletown sits about ten miles from the Paris schools on US 460. Roughly 109 of the school's 128 students ride the bus on an estimated three rural routes. Extend those routes to Paris and each one adds about 40 bus-miles a day, out and back, morning and afternoon: about 20,400 added bus-miles a year. At a marginal cost of $2.50 to $4.50 per bus-mile that is $51,000 to $92,000 a year, and if the longer runs break the route tiering and force even one additional bus, add roughly $55,000 more. The bottom-up estimate therefore lands at about $51,000 to $147,000, squarely inside the $75,000 to $200,000 planning range this report has used from the start, and it validates the $137,500 midpoint in the closure model. It also prices the quieter cost: those are 15 to 20 added minutes each way for the county's easternmost children, on rides families already call long.

Run the same math on the rebalancing scenario and the sign flips. Rezoned students already ride district buses today, ten miles west to the Paris schools; rezoning moves them to the school they live closest to, so the affected routes shorten, an estimated $10,000 to $18,000 a year saved. Rebalancing is transport-neutral at worst and modestly positive at best, while closure is a guaranteed transport increase. District-wide, the optimization lever in the menu below, routing software, tiered bells, and a right-sized fleet, remains worth 5 to 10 percent of the $2.9 million line, $145,000 to $290,000 a year, whichever way the boundary question is decided.

The state-revenue side seals the comparison. Because the 2026-2028 appropriation is frozen at flat dollars computed on old costs, the marginal state reimbursement on any NEW busing mile is zero: every dollar of closure's added routes is district money. Rebalancing changes no transported-pupil count, so the district's KRS 157.370 allotment is untouched, and its SEEK revenue is untouched because the same students attend the same district. Cross-county transfer students add SEEK revenue while adding no required busing at all: under KRS 157.350 the receiving district sets its own transportation policy for nonresident students, and most Kentucky districts have families drive or meet routes at the county line. Redistricting, in short, does not raise transportation costs; by this math it trims them while the revenue side only gains.

How a real optimization would run, and who already runs them

None of this requires inventing anything. The method is standard: geocode enrolled students from the student information system; aggregate to small planning zones; build a travel-time matrix from each zone to each school on the actual road network; then assign zones to schools to minimize total ride time, subject to building capacities, statutory class sizes, and keeping neighborhoods together, with bus routes re-optimized afterward. Kentucky districts already do versions of this. Fayette County convenes boundary working groups of parents, staff, and community members over GIS scenarios whenever it opens or rebalances schools, and publishes the maps. Jefferson County publishes its assignment boundary documents and has contracted route-optimization modeling for its bus system. Every district, Bourbon County included, already files the T-1 annual transportation report and keeps the address data the analysis needs. The tools are commodity software; the working group is a policy choice. A district facing a closure vote over money owes the public this study first, and the workbook's Transport_Geo and Redistricting tabs are built to receive its outputs.

The savings from doing this well are documented, not hypothetical. Boston Public Schools ran the signature version in 2017: an MIT-built routing algorithm produced bus routes 20 percent more efficient than the hand-built ones, cut 50 buses, about 8 percent of the fleet, eliminated a million bus-miles in the first year, and saved roughly $5 million that the district returned to classrooms. Bourbon County's transportation line is $2.9 million; the 5 to 10 percent captured in the menu below is $145,000 to $290,000 a year, and Boston's 20 percent shows the ceiling sits higher than the menu assumes. One more check anyone can run without waiting on the district: the federal School Attendance Boundary Survey (NCES EDGE) published the district's actual attendance-zone boundaries as free GIS files in its 2015-16 collection, and NCES publishes geocoded school locations. Figure 13 should be tested against those files, and the repository ships the prepared federal query, build/fetch_sabs.py, so anyone can redraw Figure 13 from the official boundaries in one step. Appendix B lists the datasets alongside the records only the district can produce.

Measure	Estimated annual value	How it works
Take the annual 4% property-tax adjustment	$350,000-$450,000, recurring	State law (KRS 160.470) lets the Board collect up to 4% more revenue from existing property each year without a recall election. Assessments grew 7.4% last year; each year the adjustment is skipped is revenue foregone permanently.
Improve delinquent-tax recovery (partial)	$60,000-$120,000	FY2025 collections ran $239,126 (2.4 percent) below certified yield, an ordinary delinquency level; assumes one quarter to one half is recoverable through routine county channels.
Attendance recovery	$100,000+ per 1% of ADA	SEEK pays per day of attendance. A chronic-absenteeism campaign is the cheapest revenue in school finance.
Staffing alignment through attrition	$300,000-$425,000	Attendance is down roughly 250 students from the funded peak. Not replacing four to five positions district-wide as retirements occur spreads the adjustment fairly instead of extracting it from one town.
Administrative restraint	$200,000-$450,000	Return central-office spending toward its FY2023 level before any classroom building closes.
Transportation optimization	$145,000-$290,000	Routing software, tiered bell times, right-sized fleet, and a pause on bus purchases after $1.58 million in two years.
Medicaid billing, E-rate, and universal-meals eligibility	$100,000-$250,000	Federal reimbursements many districts under-collect: health services for students with special needs, technology discounts, and the Community Eligibility Provision for meals in high-poverty schools.
Energy performance contracting	10-25% of utility spend	State regulation (702 KAR 4:160) authorizes contracts in which guaranteed energy savings pay for the upgrades. No such contract is currently in place district-wide.
Nonresident student agreements	$4,600+ per student	State funding follows students who transfer in. Growth, not shrinkage, is the durable fix for a small-district budget.
Shared services with Paris Independent	$100,000-$300,000	Two school districts operate in one small county. Shared transportation, food service, and back-office functions deserve a serious, public study.
Fill North Middletown to capacity instead of closing it	$140,000 to $225,000 net, recurring	Rebalance eastern attendance boundaries and recruit cross-county transfers under House Bill 563 to fill all 46 open seats; the worked example above and the workbook's Redistricting tab show the math. Multi-age reorganization and a preschool or day-care satellite are additional levers on top.

Figure 14. Revenue and cost measures available without closing a school. Values are estimates derived from the district's audited figures and state data; ranges overlap and are not additive to the penny. A conservative combination totals roughly $1.1 to $2.1 million a year, against an annual reserve drawdown of $1.1 to $1.2 million.

The tax question, faced squarely

The rate history strengthens rather than weakens the community's hand. Bourbon County Schools levies 52.4 cents per $100 on real estate, second lowest among nine area districts and roughly 13 cents below the statewide school average of 65.1. Fayette levies 80.9, Paris Independent, in this same county, 71.5, Clark 66.8, Bath 63.4, Scott 62.9, and Harrison 57.7; only Nicholas County, at 43.1, sits lower, and Montgomery is essentially tied at 52.5 (Figure 15). The trend runs the same direction: the levied rate has fallen from 61.3 cents in 2018 to 52.4 today, a decline that largely reflects Kentucky's rollback mechanics, in which a rising assessment base pushes the cent rate down to hold revenue roughly level. The one year with a documented rate-type decision, 2019, shows the board taking the full four percent revenue option, and nothing in the record shows the board leaving levy authority on the table.

Where the money lands is equally clear. Of the $9.9 million the property tax produced in fiscal 2025, $7.8 million went to the General Fund and $2.1 million to the building and debt funds; set against $29.1 million of General Fund spending, the local levy covers barely a quarter of operations, with state SEEK dollars carrying most of the rest. Two corrections belong on the record here. First, the rate confusion in the audits resolves cleanly: 52.4 cents is the levied real estate rate, the 54.2 in one audit note is a digit transposition of it, and 54.7 is the separate motor vehicle rate. Second, the collection shortfalls visible in the audits, $387,840 in fiscal 2024 and $239,126 in fiscal 2025, are ordinary delinquencies of roughly two to four percent of certified yield, the kind every Kentucky district carries, not revenue the board declined to levy. The menu above counts only a partial recovery of them for exactly that reason: honest numbers cut both ways, and I built this report to take the cut.

What remains is the option the board controls every August. Under KRS 160.470 the board may set a rate producing four percent more revenue from existing property than the compensating rate, with no recall exposure attached. Taken on the current base, that is roughly $386,000 of new recurring revenue in year one, about $787,000 a year by year two, and about $1.2 million a year by year three, nearly half the structural deficit, from a district that would still tax below Harrison, Scott, Bath, Clark, Paris Independent, and Fayette. Section 12 carries the recommendation and the companion workbook carries the math. To be clear, the levy is one option, not the only one: the menu above lists other revenue and cost measures, and deeper spending reductions are always available to a board willing to make them. But the math is simple and it does not bend. Either spending comes down or revenue goes up, and a district drawing down a million dollars of reserves a year does not get to choose neither. The board and superintendent owe the public a chosen path, in writing, with the work shown. What they do not owe anyone is the closure of the district's best performing school dressed up as the only choice.

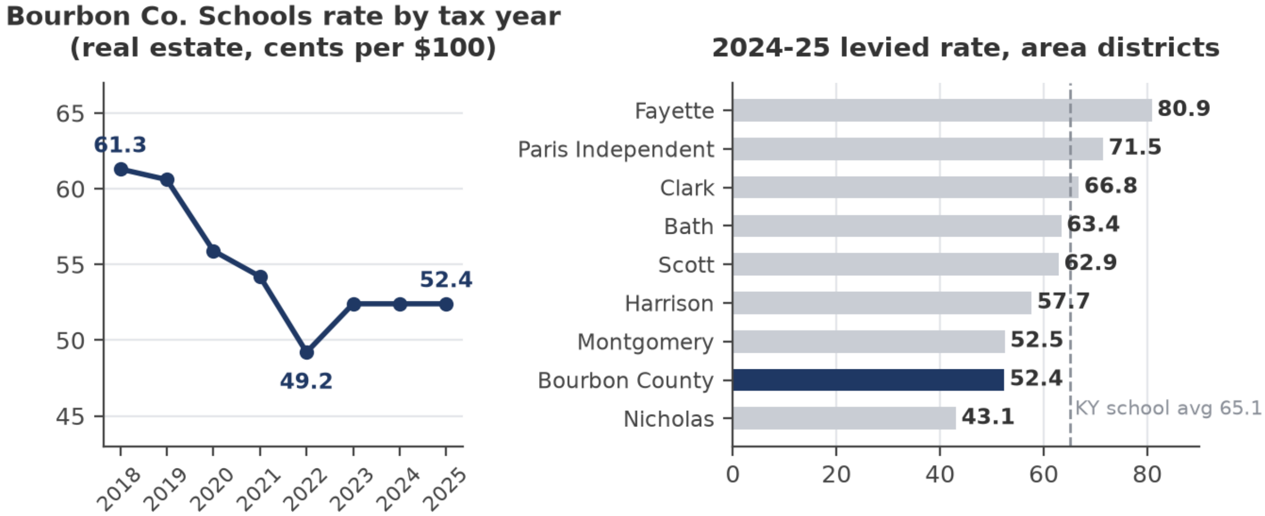

Figure 15. Left: the Bourbon County Schools real estate rate by tax year, from Kentucky Department of Revenue rate books; years before 2018 could not be retrieved and are not interpolated. Right: current levied real estate rates across nine area districts against the statewide school average of 65.1 cents. Fayette and Clark are from local reporting of their board votes; all other rates are Department of Revenue rate book lines. Bath's bar is its 2025 rate (2024 was 60.7); Nicholas is shown at its real estate rate of 43.1 (its tangible rate is 43.7).

10. What Can't Be Quantified: A Town and Its Heartbeat

> *"The school is the heartbeat of our small, but vital community... Small, rural communities are often overlooked... they're ignored in favor of larger institutions in bigger cities and towns."*
>
> Rev. Dr. Stephanie Moon, North Middletown pastor, July 2026

Everything to this point can be argued in dollars. This section cannot, and it belongs in the record anyway. North Middletown is a town of about 610 people. Its school has stood on College Street since 1948, educating grandparents, parents, and children in the same classrooms; this month those children were invited to write love letters to it. When a place that small loses its school, it loses its largest engine of civic life: the gym where the town gathers, the stage for every concert, the reason young families give for staying.

The research on what follows a closure is unusually consistent. Cornell sociologist Thomas Lyson, studying 297 rural New York villages, found that in the smallest of them, 500 people or fewer, the presence of a school went with home values roughly a quarter higher ($59,508 versus $47,782), better water and sewer infrastructure, and more residents working in town; he warned that money saved through consolidation "could be forfeited in lost taxes." A North Dakota State University study that followed eight communities through consolidation found that in the towns that lost their schools, businesses, retail trade, and participation in community organizations all declined. A 2022 Brown University analysis of Arkansas's forced consolidations estimated that affected communities lost 13 to 15 percent of their population and roughly $1,300 in assessed value per property, with communities of color hit hardest. And a case study of Limerick, Saskatchewan documented the quieter losses after a school closed: volunteerism, community recreation, and the everyday ties between generations all frayed, felt even by residents with no children in school.

There is a fiscal irony buried in that research: a district closing a school to protect its budget risks shrinking the very tax base the budget stands on. Property values, population, and local business activity are not sentimental line items. They are the assessment roll.

The people closest to this school have already said what the studies measure. An alumna planning to enroll her own children told reporters that closing it “just makes no sense when the other schools are already so packed.” Mayor Jeff McFarland calls closure “a disservice to the community.” None of this appears in a savings worksheet. All of it should appear in the Board's deliberation, because a decision that counts only what is easy to count is not a complete accounting.

My own personal note

> I grew up in this school and in this town, and I cannot overstate what they made of me. Our academic team won a regional championship in that building. I played basketball as an NMES King and kickball on that playground. I learned from teachers like Mrs. Craycraft, Mrs. Johnson, and Mrs. Mitchell, the kind of teachers a child remembers for the rest of his life. Whatever I have become, the foundation was poured there, early, by people who knew my name. And the debt runs wider than one building: Bourbon County Schools carried me from elementary through high school, and I loved every year of it.
>
> I also remember that this fight is not new. When I was a student, the board of that era tried to attach this same transitional label to this school. My parents and their neighbors chose to fight, and North Middletown Elementary stayed permanent. It was the lifeblood of this town then. It is the lifeblood of this town now.
>
> Bourbon County is no longer my home, or my family's. But the grit and perseverance it and NMES gave me still remain. Some things are worth fighting for wherever life takes you, and this school is one of them.
> A former NMES King

11. Ten Questions the Board Should Require Answered, In Writing, Before Any Vote

These are not rhetorical. Each has a document behind it that the administration either already holds or should be required to produce.

1. What is the line-item **net recurring General Fund saving** from closure: costs that truly disappear, minus added transportation, receiving-school costs, and the carrying or disposal cost of the building? Publish the worksheet.
2. What exactly is inside the “over a million dollars” figure, and how does it reconcile with the state's published per-student spending data for the school? And which enrollment count is the administration using, federal data show 128 students, while public statements have ranged lower.
3. Grade by grade, what is the real capacity at Bourbon Central and Cane Ridge, and what staff, sections, or space must be added to absorb 128 more children, at what cost, from which fund? And publish the geocoded student counts by attendance area that any honest boundary study, including the rebalancing scenario in Section 9, needs.
4. What are the modeled bus routes, and what is the longest one-way ride a North Middletown kindergartner would face?

5. What does the new architect-and-engineer condition assessment say about the North Middletown building, what renovation figure does it attach, and who prepared it?
6. Which of the claimed savings are General Fund dollars that can pay teachers, and which are restricted facility dollars that cannot?
7. What is the stated purpose of the 2024 $6.055 million bond issue? Publish the official statement and the BG-1, and state when North Middletown Elementary last received meaningful capital investment.
8. Why did central-office administration grow 44.8 percent in two years while attendance fell, and what rollback is on the table before a school closes? Publish administrator compensation from the official state records.
9. What is the written plan to protect the academic outcomes of students moved from a school scoring 58.2 into schools scoring 26.5 and 19.3, and what happens to the district's Title I allocations when they move?
10. Which alternatives in Section 9 has the administration actually modeled, with what results, and if none, why is closure first on the list rather than last?

12. Recommendations

The ask, plainly stated: the community requests that the Board of Education pause any vote on the facility plan, or on the future of North Middletown Elementary, until the ten questions in Section 11 are answered in writing and in public. A pause is fully within the Board's power: boards control their own agendas, a resolution deferring adoption of the plan requires only a majority, and if the four-year planning deadline presses, the governing regulation (702 KAR 4:180) allows a district to request a waiver or extension from the Kentucky Department of Education, relief the Department has granted other districts. Nothing in state law forces a rushed decision.

Before the July 29 forum and any Board action

- Adopt a formal Board position that closure is a last resort, to be considered only after the ten questions above are answered in writing and the alternatives in Section 9 have been costed.
- Decline to adopt any facility plan carrying a “transitional” designation for North Middletown until the net-savings worksheet, the building condition assessment, the 2024 bond documents, and the school-level climate-and-safety survey results are public.
- A working threshold for the Board: if documented net recurring General Fund savings fall below roughly $400,000 to $500,000 a year, a range the four percent revenue option alone nearly matches in its first year, closure fails on its own financial terms.
- Request from the Kentucky Department of Education and the district's own archives the pre-2021 facility plan cycles and board minutes. They would settle the school's planning history, including whether an earlier transitional designation was proposed and reversed, and recover the building's earlier rated capacities.
- Face the levy each August with the numbers on the table: the four percent option adds roughly $386,000 of recurring revenue in year one and about $1.2 million a year by year three if taken three years running, while Bourbon would still tax below six of its eight neighbors. Take it or reject it, but decide on the record, alongside the spending decisions, because standing idle is the one answer I rule out.

Over the next twelve months

- Pursue the low-harm levers first: the collections-gap reconciliation, the 4-percent levy decision at the September tax setting, Medicaid and meals reimbursements, transportation routing, attrition-based staffing, and an administrative cost review, with quarterly public reporting against a target of cutting the operating deficit from $2.6 million to under $1.5 million by fiscal 2027 and under $800,000 by fiscal 2028.
- Charter a North Middletown sustainability committee, district, city, parents, and business, to design the multi-age model, community uses of the building, and a transfer-in program for the 2027-28 school year.
- Give that plan a real test: two years, a public target of at least 145 students at the fall 2028 count, and quarterly reporting against it. If the community's plan misses its own number, the conversation changes; if it hits, the question is settled. Either way, the decision will have been earned rather than assumed.

If consolidation is ever revisited

- Require an independent review of the savings estimate, a receiving-school capacity study, and a student transition plan, and cost grade reconfiguration (for example, a primary center at North Middletown) as the explicit alternative to outright closure.

The district holds about $4.3 million in General Fund balance and is drawing it down at $1.1 to $1.2 million a year. That is a serious problem, and roughly three budget cycles in which to fix it properly. Closing the county's best elementary school, in the town that would lose the most, on the strength of an unpublished number, would be a permanent answer to a solvable problem. The community is not asking the Board to ignore the deficit. It is asking the administration to show its work. Revenue or reductions, the Board must choose one and own it; standing still simply spends the reserves and blames a school. Pause the vote. Answer the questions. Then decide with the whole record on the table.

Notes on the Data

I built this report from public records, and I want it held to that standard. The audited figures come from the district's financial statements for the years ended June 30, 2024 and June 30, 2025, both of which carry clean opinions. Per-student spending is the state's published school-level data for 2023-24, the most recent full year posted, and should be refreshed when the next year appears. The multi-year score series in Figure 6 is SchoolDigger's normalized 0-100 rendering of Kentucky Department of Education test data, a consistent yardstick across years but not KDE's official rating; the underlying state assessments changed in 2012 and again in 2021-22. Demographic figures come from the U.S. Census Bureau, the Kentucky State Data Center's projections as reported in county planning documents, and the county's Envision 2040 plan. Enrollment counts from 1989 through 2014 are compiled from federal data by PublicSchoolReview; the 2015 through 2025 counts match the federal figures directly. Every dollar range labeled an estimate is mine, its assumptions are stated where it appears, and every one of them is adjustable in the companion workbook. The boundary rebalancing scenario in Section 9 is simple math on the cited enrollment counts, not a routing study; the geocoded student counts and routing data a full study needs are held by the district and requested in Question 3. The transportation estimates beside it use census geography, a highway distance, and labeled cost-per-mile bands; the district's annual T-1 transportation report and zone map would replace every one of those inputs, and the Transport_Geo tab is built to take them.

A few items in the record need the district, not me, to resolve. The real-estate tax rate appears as 52.4 confusion is resolved in Section 9: 52.4 cents is the levied rate, 54.2 a transposition typo, 54.7 the motor vehicle rate; still open are the General Fund versus building fund cent split, the levied rate type by year, and the pre-2018 rate history, all in state files the district can produce. The 2013R bond figures are internally inconsistent as printed. The stated purpose of the 2023 and 2024 bond issues awaits the official statements. The school-level climate and safety survey results were not publicly retrievable. And the enrollment count itself: federal data show 128, public statements have said around 100, and a 118 figure appears in no official record I could find. Reported free and reduced-price meal shares for the school range from roughly 76 to 93 percent across federal and state sources. My recollection in Section 10 of an earlier transitional episode comes from personal discussions with my father, who served as mayor of North Middletown; it is offered as memory, and the pre-2021 planning records that would confirm it are requested in Section 12. One more for the record: the fiscal 2025 audit misprints the prior year's attendance as 2,278.527; the correct figure, 2,278.537, comes from the fiscal 2024 audit itself.

I prepared this report myself, with Fable 5, an AI research assistant from Anthropic, doing the digging alongside me, and I disclose that on purpose: check my work. Every figure traces to a source below, and every school and district named is the Kentucky one. Before release I stress-tested this report against its own bias, which is why the cautions on pension allocations inside expense lines, one-time swings, single-year score noise, and the tax cost of the levy option sit beside the numbers they qualify. The Kings mascot and the blue and white of these pages are the school's own, as every King knows. Last: this report criticizes decisions and asks for documents. It attributes no motive and alleges no wrongdoing to the superintendent, the finance office, the Board, or any member of the planning committee, and nothing in it should be read otherwise.

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Appendix A: Plain-Language Glossary

ADA (Average Daily Attendance)	The average number of students actually present each day; the main driver of state funding.
BG-1	The state form that authorizes a school construction project's scope and budget.
Bond / debt service	Borrowing for buildings, and the annual principal-and-interest payments that repay it.
Bonding potential / capacity	The new building debt a district's restricted revenues can support, as computed by KDE; built from the capital outlay and nickel streams, minus existing debt service. See Section 6.
Capital outlay	A state allotment restricted to buildings and equipment; it cannot pay salaries.
Compensating rate	The property-tax rate that produces the same revenue as the year before.
Contingency	The required budget cushion; Kentucky law sets a two-percent minimum.
DFP (District Facility Plan)	The state-approved four-year plan listing every building's status and capital priorities.
ESSER	Federal pandemic relief for schools (Elementary and Secondary School Emergency Relief), now expired.
Finance Corporation	The legal entity, with the same members as the Board, that issues a district's bonds.
4% rate (KRS 160.470)	The state law allowing a board to collect up to four percent more property-tax revenue each year without a recall election.
FRPL	Free and reduced-price lunch eligibility; a standard measure of student poverty.
FSPK / the "nickel"	A restricted building tax (five cents per $100 of property value) that funds facilities and bond payments.
Fund balance / unassigned	The district's accumulated reserves; the unassigned portion is not committed to any purpose.
General Fund	The district's main operating account, salaries, utilities, and daily costs.
Hold-harmless	A temporary rule that let districts keep pandemic-era funding based on older, higher attendance.
KDE / KBE	The Kentucky Department of Education and the Kentucky Board of Education, which must approve facility plans.
KSA	The Kentucky Summative Assessment, the state tests behind school accountability scores.
LPC (Local Planning Committee)	The citizen-and-staff committee that drafts the facility plan; it recommends, but cannot close a school.
Official statement	A bond's public prospectus describing its purpose, projects, and repayment terms.
On-behalf payments	Pension and benefit costs the state pays directly for district employees, shown in the audit as both revenue and expense.
SEEK	Support Education Excellence in Kentucky, the state's per-student funding formula ($4,586 base in fiscal 2026).
SFCC	The School Facilities Construction Commission, a state body that pays part of qualifying school-construction debt.
Tier I	An optional layer of local tax effort that the state partially matches.
Title I	Federal funding for schools serving many low-income students.
"Transitional" center	A facility-plan label meaning a school is slated for possible consolidation; a classification, not a closure.
702 KAR 4:180	The state regulation governing facility planning and the school-closure process.

Appendix B: The Open Records Checklist

Kentucky's Open Records Act (KRS 61.870 to 61.884) entitles any resident to these documents on request to the district's records custodian, with a response due within five business days. Each request names the labeled estimate in this report or the companion workbook that it would replace. Nothing here seeks student-identifiable information, and I will publish, and correct against, whatever comes back.

Request	What it settles
The money. The net-savings worksheet behind the "over a million dollars" statement	Replaces the $250,000 to $600,000 planning range (Sections 1, 4)
Any alternatives modeling the administration has performed	Whether closure was compared to anything (Section 9)
Administrator salary schedule and five years of compensation, position by position	How much of the 44.8 percent central-office growth is people versus accounting (Section 8)
KDE levy files: rate type elected each year; General Fund versus building fund cent split	The two open cells in the tax history (Section 9)
The buildings and bonds. The 2024 bond's official statement and BG-1; the 2023 issue's purpose	Where $6.9 million of recent borrowing went (Section 6)
KDE's bonding potential statement for the district	Real borrowing headroom beside the audit's $23.5 million (Section 6)
The architect-and-engineer condition assessment for North Middletown, with author and assumptions	The building case, if one exists (Section 7)
The room-by-room worksheet behind the 174 capacity rating; the pre-2021 facility plans	Whether capacity is a wall or a room schedule (Section 7)
The boundaries and buses. The district's GIS attendance-zone map	Replaces the traced zones in Figure 13
Geocoded student counts by attendance area or planning zone	Validates the density analysis; enables real boundary optimization (Section 9)
The T-1 annual transportation report, route sheets, and cost per bus-mile	Replaces every yellow busing input in the Transport_Geo tab
Modeled post-closure routes and the longest one-way ride for the youngest riders	Question 4's answer in minutes rather than adjectives
The students. The written academic transition plan and Title I reallocation analysis	What happens to the children academically (Section 5)
Grade-by-grade capacity, sections, and space at Bourbon Central and Cane Ridge	Absorption costs, and the rebalancing scenario's relief estimate (Sections 4, 9)
School-level climate and safety survey results for all three elementaries	The state's own measure of the school communities involved (Section 5)

Fifteen requests in four groups. Each cites the section whose labeled estimate it replaces.

Already public, no request needed

- School Attendance Boundary Survey (NCES EDGE, 2015-16): the district's attendance-zone GIS files; the prepared query ships in this repository as build/fetch_sabs.py; school locations and enrollment files at nces.ed.gov/programs/edge.
- U.S. Census TIGER county boundaries and block-level population counts (census.gov/geographies); KDE SEEK transportation calculation files and district funding detail (education.ky.gov/districts/SEEK).